MEMORANDUM — CONSTITUTIONAL EXPOSURE OF STATE CLIMATE COST-RECOVERY LEGISLATION

Prepared for the Arden Petroleum Council by outside counsel, 2 May 2025

Privileged and confidential when prepared; furnished to the Committee on Energy and Environment with the Council's consent and without waiver as to other material. This memorandum addresses the general legal framework and does not analyse the bill.

1. Scope

We have been asked for the framework a court would apply to state legislation imposing charges on sellers of fossil fuel products by reference to past sales. We set out the doctrines and the leading statements. We express no view on the bill, which was not before us in final form.

2. The commerce doctrine

A measure that discriminates against interstate commerce on its face, in purpose or in practical effect is subject to a demanding standard: *Oregon Waste Systems, Inc. v. Department of Environmental Quality*, 511 U.S. 93 (1994). Where a measure is evenhanded and its effects on interstate commerce are incidental, the balancing approach in *Pike v. Bruce Church, Inc.*, 397 U.S. 137 (1970) applies. That a measure falls more heavily on out-of-state firms is not by itself sufficient: *Exxon Corp. v. Governor of Maryland*, 437 U.S. 117 (1978).

A charge imposed on all sales combined with a benefit reserved to local interests may be assessed as a single scheme: *West Lynn Creamery, Inc. v. Healy*, 512 U.S. 186 (1994). The Supreme Court has recently discouraged reliance on any freestanding rule against extraterritorial effects and has expressed reservation about weighing economic burdens against noneconomic benefits: *National Pork Producers Council v. Ross*, 598 U.S. 356 (2023).

3. Territorial limits and due process

A State may not regulate activities wholly beyond its boundaries: *Watson v. Employers Liability Assurance Corp.*, 348 U.S. 66 (1954). It may apply its law to out-of-state actors whose conduct has in-state consequences: *Young v. Masci*, 289 U.S. 253 (1933). A penalty aimed at altering conduct lawful where it occurs exceeds those limits: *BMW of North America, Inc. v. Gore*, 517 U.S. 559 (1996).

4. Charges reaching past transactions

Retroactive fiscal legislation is tested for a legitimate purpose furthered by rational means, and the length of the reach-back is treated as material: *United States v. Carlton*, 512 U.S. 26 (1994), and earlier *Welch v. Henry*, 305 U.S. 134 (1938). Legislation imposing severe liability on a limited class for long-past conduct has been held invalid: *Eastern Enterprises v. Apfel*, 524 U.S. 498 (1998), though the Justices divided on the basis. In our experience the two questions a court asks first are how long the reach-back is and whether the party could have priced for the charge.

5. Timing of a challenge

A challenge brought before enforcement is a facial challenge and faces the standard in *United States v. Salerno*, 481 U.S. 739 (1987). Where the operation of a statute depends on regulations not yet made, a court may decline to adjudicate: *Washington State Grange v. Washington State Republican Party*, 552 U.S. 442

(2008). A challenger is therefore ordinarily better placed after the implementing rules are in place, at the cost of the charge having attached in the meantime.

6. Characterisation: tax, fee, or remedial exaction

The standard a court applies turns in part on what the charge is. A charge measured by a service rendered or a benefit conferred is a fee; one imposed for revenue on a general class is a tax; one imposed to make good a harm attributed to the payer is neither exactly, and the authorities do not speak with one voice about it. The distinction matters here because the tests differ.

Where the charge is a tax on interstate activity, the framework is that in *Oklahoma Tax Commission v. Jefferson Lines, Inc.*, 514 U.S. 175 (1995): substantial nexus, fair apportionment, no discrimination, and fair relation to services provided by the State. The second and fourth limbs are the ones that bite on a charge whose measure is not confined to in-state activity. On incidence, *Commonwealth Edison Co. v. Montana*, 453 U.S. 609 (1981) holds that a generally applicable charge is not invalid because most of what is taxed leaves the State; the question is discrimination and burden, not where the economic weight lands.

Where the charge is remedial, the analysis borrows from the retroactivity cases and from the proportionality strand of the due process cases. In our experience a State does better when it can point to a measure of the harm and show the charge tracking it; it does worse when the figure is fixed by appropriation and the harm is invoked only as justification.

7. If the measure is held discriminatory

A measure that discriminates in purpose or effect is not automatically void: the State may sustain it by showing a legitimate local purpose and the absence of any reasonable nondiscriminatory alternative, *Maine v. Taylor*, 477 U.S. 131 (1986). The burden is the State's and it is a heavy one. The alternative limb is where such defences usually fail — if a nondiscriminatory charge would raise the same money, the discriminatory one cannot stand. Counsel advising a State should therefore expect the question: why not a charge on all sellers, or a general revenue measure?

By contrast a facially neutral measure directed at a genuine local interest is generally sustained even where its weight falls unevenly, *Minnesota v. Clover Leaf Creamery Co.*, 449 U.S. 456 (1981), and the States retain wide latitude in the fields of health, safety and the environment, *United Haulers Association v. Oneida-Herkimer Solid Waste Management Authority*, 550 U.S. 330 (2007).

8. What a challenger would have to put in evidence

On the discrimination limb: the incidence of the charge as between in-state and out-of-state payers, which requires the coverage test to be worked through on each candidate's own figures. On the burden limb: the size of the charge set against the activity charged, and against whatever measure of local benefit the State advances. On the retroactivity limb: the length of the reach-back and evidence that the charge could not have been priced into the transactions on which it is computed.

Each of these is an arithmetic exercise on the payer's own records, and none of it can be done from the face of the statute. A State that has not done the arithmetic before enactment is likely to be surprised by it afterwards.

9. Severability

Where a scheme has several charges and one falls, whether the rest survive depends on the statute and on the law of the State. An express severability clause is not conclusive but it shifts the starting point. Its absence, in a

scheme whose several charges were plainly conceived as a package, is an invitation to argue that the whole must fall together. We have seen that argument succeed.

10. What we were not asked

We were not asked about federal preemption, on which the position is in flux, nor about any provision imposing charges on real property. We offer no view on the amount of any charge.

This memorandum states rules; it does not apply them. Counsel's citations are to the first page of each report.